BUA 102 — Course Notes (Detailed)

26th May, 2026 — Introduction to Business

Business refers to all activities that involve the exchange of goods and services to satisfy human wants, providing for human needs and earning profit — including buying, selling, managing, marketing, and financing the business organization.

Basic Principle of Management

Management is the process of planning, organizing, directing, and controlling resources to achieve organizational goals effectively and efficiently. These four activities are known as the **functions of management**, and they work together in a cycle — a manager plans what needs to be done, organizes the resources to do it, directs people to carry it out, and controls the process to make sure it stays on track.

Key Factors of Starting a Business

1) Planning

Planning involves deciding in advance *what* to do, *how* to do it, and *who* will do it. It is the first and most fundamental management function because every other function depends on having a plan to work from. Planning can be short-term (daily/weekly operations) or long-term (strategic goals for years ahead).

Importance of planning:

- **It prevents risk and uncertainty** — by thinking ahead, a business can anticipate problems (e.g. cash shortages, supply delays) and prepare responses before they happen, rather than reacting in a crisis.
- **It helps to achieve goals** — planning gives the business a clear target and a roadmap for reaching it, so effort isn't wasted on unfocused activity.
- **It improves decision making** — having a plan gives managers a reference point, so choices can be evaluated against whether they move the business toward its stated goals.

2) Organizing

Organizing means arranging resources (people, money, materials, equipment) and tasks in a structured way in order to implement a plan. It turns the "what we intend to do" from planning into "who does what, with what, and in what order."

Activities included in organizing:

- **Assigning services/duties** — dividing the overall work into specific jobs and giving each one to a person or team best suited to it.
- **Delegating authority** — giving employees the power/responsibility to make certain decisions or take certain actions, so work doesn't bottleneck at the top.
- **Co-ordinating work** — making sure different departments and individuals work together smoothly instead of duplicating effort or working against each other.

3) Directing

Directing means leading and motivating workers/human resources so they perform effectively. While planning and organizing set things up, directing is the "action" function — it's about actively guiding people through the work.

Activities included in directing:

- **Leadership** — guiding, inspiring, and setting direction for a team so members follow willingly rather than only under instruction.
- **Communication** — clearly passing information, instructions, and feedback between managers and employees so everyone understands what is expected.

- **Motivation** — encouraging employees (through incentives, recognition, or a supportive environment) to put in their best effort.
- **Supervision** — overseeing day-to-day work to ensure tasks are being carried out correctly and on schedule.

4) Controlling
Controlling involves measuring performance and correcting deviation from plans. It is the "check-up" function — managers compare actual results against the targets set during planning, and if there's a gap, they take corrective action (e.g. retraining staff, adjusting a budget, changing a process).

Principle and Practice of Contemporary Business

Contemporary business refers to modern business practices shaped by today's competition and technological environment. Unlike traditional business (which was often local, slow-moving, and less tech-reliant), contemporary business operates in a fast, globally connected, digitally driven marketplace.

Principles of Contemporary Business

1. **Consumer satisfaction** — modern businesses are built around meeting customer needs and expectations, since satisfied customers drive repeat sales and loyalty in a highly competitive market.
2. **Technology utilization** — using tools like computers, the internet, automation, and digital platforms to improve efficiency, reach more customers, and reduce costs.
3. **Ethical practices** — conducting business honestly and responsibly (fair pricing, honest advertising, fair treatment of workers) to build trust and a good reputation.
4. **Globalisation (international co-operation and business)** — businesses today operate beyond national borders, trading, partnering, and competing internationally rather than staying confined to a local market.
5. **Innovation** — continuously improving products, services, and processes to stay ahead of competitors and meet changing customer demands.

> Modern business encourages creativity and decision making — because competition and technology change quickly, businesses must be willing to think of new ideas and make prompt, informed decisions rather than sticking rigidly to old methods.

Practices of a Business (general)

1. **Proper decision making** — basing choices on accurate information and sound judgement rather than guesswork, since poor decisions can be costly.
2. **Flexibility/adaptability, co-operation/teamwork** — the ability to adjust to changing conditions (market trends, new regulations, competition) and to work well as a team, since collective effort usually outperforms isolated individual effort.
3. **E-commerce** — buying and selling goods/services online, which has become a standard practice allowing businesses to reach a much wider customer base at lower cost than a purely physical storefront.

Functional Areas of a Business

A **functional area** is a core department within a business, each responsible for a specific set of activities needed to keep the business running. Examples:

1. **Human Resource department** — responsible for recruiting, training, motivating, and managing the welfare of employees.
2. **Financing department** — responsible for sourcing, managing, and controlling the money the business needs to operate (see Finance Function below).

3. **Marketing department** — responsible for promoting and selling the business's products/services.
4. **Production department** — responsible for turning raw materials into finished goods.
5. **Accounting department** — responsible for recording, summarizing, and reporting all financial transactions of the business.
6. **Research and Development (R&D) department** — responsible for investigating new ideas, improving existing products, and identifying human needs, wants, and product opportunities.
7. **Marketing department (identification role)** — beyond promotion, marketing also plays a role in identifying human needs, wants, and market trends that guide what the business should produce.

Finance Function

The **finance function** is the business activity concerned with sourcing (raising), managing, and controlling the funds a business needs to operate and grow. Without finance, a business cannot buy raw materials, pay staff, or invest in equipment — it is often called the "lifeblood" of a business because every

other function depends on it having enough money to work with.

Key activities of the finance function:

- **Sourcing of funds** — raising capital through owners' savings, loans, shares, or retained profit.
- **Financial planning/budgeting** — estimating how much money will be needed and allocating it across the business's activities (e.g. production, marketing, wages).
- **Cash flow management** — ensuring the business always has enough cash on hand to meet its short-term obligations (like paying suppliers and staff on time).
- **Investment decisions** — deciding where to put the business's money to generate the best returns (e.g. new equipment, expansion).
- **Financial control** — monitoring spending against the budget and correcting any overspending or misuse of funds.
- **Record keeping and reporting** — working closely with the accounting department to track income, expenses, and profitability.

Importance of the finance function:

- Ensures the business has enough working capital to run daily operations.

- Enables long-term growth through investment in assets and expansion.
- Helps management make informed decisions using financial data.
- Reduces the risk of insolvency (running out of money) by monitoring cash flow.
- Supports accountability by tracking exactly how money is earned and spent.

11th June, 2026 — Marketing Function

The **marketing function** covers all the activities involved in identifying customer needs and promoting the business's products/services to meet them.

Examples of marketing activities:

- **Advertising** — paid promotion of products/services through media (TV, radio, social media, billboards, etc.) to inform and persuade potential customers.
- **Creating awareness** — making the target market aware that a product or service exists and what it offers.
- **Promotion** — activities (discounts, campaigns, sponsorships) used to boost interest in and sales

of a product.

Importance of marketing:

- **Increases sales** — effective marketing brings the product to the attention of more potential buyers, directly boosting revenue.
- **Builds customer loyalty** — consistent, positive engagement with customers (good service, honest advertising, quality follow-up) keeps them coming back rather than switching to competitors.
- **Creates awareness** — even the best product will not sell if nobody knows about it; marketing bridges that gap.

Production Function

Production is the process of converting raw materials/goods into a final manufactured product. It is the core function that actually creates what the business sells.

Functions of production:

- **Product design** — deciding the specifications, features, and appearance of the product before it is made.
- **Quality control** — checking that products meet set standards before they reach the customer, to avoid defects and maintain reputation.

- **Inventory management** — keeping track of raw materials and finished goods so the business has enough stock without overstocking (which ties up money).
- **Maintenance of equipment** — regularly servicing machines and tools used in production to avoid breakdowns and delays.
- **Scheduling of production** — planning the timing and sequence of production activities so goods are made efficiently and on time.

Importance of production:

- **Income generation** — producing goods to sell is how a business earns revenue.
- **Proper standard of living** — production of goods and services meets society's needs, contributing to a better quality of life.
- **Creates employment opportunities** — production activities require workers, contributing to job creation.
- **Ensures efficient use of resources** — good production management makes the best use of raw materials, labour, and capital, minimizing waste.
- **Improves product quality** — organized production processes (including quality control) lead to better, more consistent products.

- **Reduces production cost** — efficient scheduling, maintenance, and inventory management cut down on wasted time, materials, and money.

BUA 102 — Problems of Nigerian Business Enterprises

Major problems include:

- **Poor electricity supply** — unreliable power forces businesses to rely on expensive alternatives (generators, fuel), raising operating costs.
- **Inadequate infrastructure** — poor roads, water supply, and telecommunications make it harder and costlier to produce and distribute goods.
- **Insecurity** — theft, kidnapping, and violence in some areas disrupt operations and discourage investment.
- **Inflation** — a general rise in prices erodes purchasing power and increases the cost of raw materials and operations.
- **Exchange-rate volatility** — unstable currency values make it hard to plan costs and prices, especially for businesses that import materials or export goods.
- **Multiple taxation** — being taxed repeatedly by different government agencies/levels increases

the cost burden on businesses.

- **Corruption** — bribery and unfair practices in dealing with officials add extra, unofficial costs and create an uneven playing field.
- **Policy inconsistency** — frequent, unpredictable changes in government policy make long-term business planning difficult.
- **Limited access to finance** — many businesses, especially small ones, struggle to get loans or credit due to high interest rates or strict requirements.
- **Shortage of skilled manpower** — a lack of adequately trained workers reduces productivity and product/service quality.

Suggested solutions:

- **Stable government policies** — consistent, predictable regulations help businesses plan confidently for the future.
- **Infrastructural investment** — government/private investment in power, roads, and communication reduces operating costs for businesses.
- **Improve security** — better security measures protect lives, property, and business continuity, encouraging investment.
- **Easier access to credit/finance** — more accessible loans and lower interest rates help businesses

start up and expand.

- **Anti-corruption measures** — stronger enforcement and transparency reduce the extra costs and unfairness caused by corruption.

BUA 102 — Business Risk and Uncertainties

Risk is the possibility of loss that can be estimated — meaning there is enough information or historical data to calculate the likelihood of it happening (e.g. the chance of a machine breaking down).
Uncertainty refers to a situation where outcomes or events cannot be predicted at all (e.g. natural disasters, rapid climate changes) — there is no reliable way to estimate the probability.

Types of Risk

- **Financial risk** — the danger of losing money due to factors like bad debt, poor cash flow, or unfavorable financing terms.
- **Operational risk** — losses arising from failures in a business's internal processes, systems, or people (e.g. equipment failure, human error).
- **Market risk** — losses caused by changes in market conditions, such as falling demand, price changes,

or new competitors.

- **Legal risk** — losses arising from lawsuits, non-compliance with laws/regulations, or contract disputes.
- **Technological risk** — losses from technology failing, becoming obsolete, or being disrupted (e.g. cyberattacks, system crashes).
- **Political and environmental risk** — losses caused by political instability, policy changes, or environmental factors (e.g. natural disasters, climate change) affecting the business.

Risk Management Methods

1. **Insurance** — transferring the financial impact of certain risks to an insurance company in exchange for regular premium payments.
2. **Diversification** — spreading business activities/investments across different products, markets, or areas so that a loss in one doesn't sink the whole business.
3. **Planning** — anticipating potential risks in advance and preparing strategies to avoid or reduce them.
4. **Internal control** — setting up checks, procedures, and oversight within the business to prevent errors, fraud, or mismanagement.
5. **Staff training and contingency planning** — equipping employees with the skills to handle

problems, and having backup plans ready in case a risk event actually occurs.

10th July, 2026 — International Business

International business refers to business activities carried out across national boundaries — buying, selling, and investing between businesses/individuals in different countries.

Reasons for engaging in international business:

- **Access to raw materials** — some materials are not available locally, so businesses source them from other countries.
- **Market expansion** — selling to customers in other countries increases the potential customer base beyond the home market.
- **Access to profit opportunities** — some foreign markets may offer higher prices, less competition, or better returns.
- **Diversification** — operating in multiple countries spreads business risk, since a downturn in one country's economy won't affect all operations equally.

Forms of International Business

1. **Exporting** — selling goods/services produced in one country to customers in another country.
2. **Importing** — buying goods/services from another country to sell or use in the home country.
3. **Licensing** — allowing a foreign company to produce/sell your product or use your brand/technology in exchange for a fee (royalty).
4. **Franchising** — allowing a foreign party to operate a business using your established brand, systems, and support, usually for a fee and ongoing royalties.
5. **Joint ventures** — two or more businesses (often from different countries) combining resources to run a business together, sharing profits, risks, and control.
6. **Foreign direct investment (FDI)** — directly investing in and owning business operations (e.g. building a factory or buying a company) in another country.

Advantages of International Business

- **Increased sales** — access to a much larger customer base than the home market alone.
- **Foreign exchange earnings** — selling abroad brings foreign currency into the country, which strengthens the economy.

- **Employment creation** — international operations often require local hiring in the countries a business expands into.
- **Technology transfer** — international business brings new technology, skills, and processes into the countries it operates in.
- **Economic growth** — increased trade and investment contribute to a country's overall economic development.

Challenges of International Business

- **Exchange rate fluctuation** — changing currency values can make costs and profits unpredictable.
- **Cultural differences** — differences in language, customs, and consumer preferences can complicate marketing and operations.
- **Legal barriers** — different countries have different laws and regulations that businesses must navigate.
- **Tariffs** — taxes imposed on imported/exported goods increase costs and can reduce competitiveness.
- **Political instability** — unstable governments or policies in a foreign market can disrupt business operations.
- **Logistics** — the complexity and cost of transporting goods across long distances and

borders.

Examples of International Business (Nigeria-related)

- **Dangote Cement** — exports cement from Nigeria to other African countries.
- **MTN Group** — a South African telecommunications company operating across multiple African countries, including Nigeria.
- **Nestlé** — a multinational company producing and selling food/beverage products in Nigeria and worldwide.